

Consumer Lending Servicing Compliance Standard

Document Control

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1. Executive Summary

This standard governs Meridian Community Bank’s compliance controls for consumer-loan servicing. It covers payment posting, periodic account information, borrower requests, military-service protections, complaint handling, application-record retention, and evidence that the controls operated as expected.

Consumer Lending owns day-to-day servicing, while the Consumer Compliance Office interprets regulatory requirements and approves exceptions. The expected outcome is that each borrower receives accurate treatment under the applicable agreement and law, each payment is associated with the correct loan, and Meridian can demonstrate the decisions it made.

The standard uses regulatory minimums as a floor. A longer internal retention period or a more protective customer treatment may apply when approved by Legal and Compliance. Operational convenience does not justify reducing a regulatory or contractual protection.

2. Scope

This document applies to:

- Organizations: Meridian Community Bank and contracted consumer-loan servicing vendors;
- Business units: Consumer Lending, Loan Operations, Customer Care, Legal, Consumer Compliance, and Internal Audit;
- Systems: Meridian Loan Servicing Platform, Meridian Account Registry, ComplianceCase, and the enterprise records vault;
- Data types: loan agreements, borrower records, payment records, account details, servicing notices, military-service documents, complaints, and control evidence;
- Processes: loan boarding, payment posting, statement generation, rate adjustment, complaint investigation, exception approval, and record retention;
- Locations or jurisdictions: United States operations;
- Third parties: approved statement printers, payment processors, and servicing vendors.

This document does not apply to commercial credit, credit cards, residential mortgage servicing, or loans serviced entirely by another institution under a contract assigning compliance responsibility to that institution.

3. Regulatory and Control Context

3.1 Applicable Requirements

Requirement ID	Source	Requirement Name	Description	Mandatory	Effective Date
REQ-ECOA-RET	Equal Credit Opportunity Act, Regulation B, 12 CFR 1002.12	Application record retention	Retain covered consumer application and action records for at least 25 months after notice of action or incompleteness.	Yes	Current
REQ-TILA-STMT	Truth in Lending Act, Regulation Z, 12 CFR Part 1026	Consumer credit account information	Provide applicable consumer-credit disclosures and periodic account information clearly, accurately, and on time.	Yes	Current
REQ-SCRA-RATE	Servicemembers Civil Relief Act, 50 USC 3937	Pre-service obligation interest protection	Apply the statutory interest-rate protection to eligible pre-service obligations after receipt and validation of the required notice or military-service evidence.	Yes	Current
REQ-MCB-COMP	Meridian Customer Complaint Policy MCB-CMP-110	Complaint investigation	Record, investigate, respond to, and trend covered servicing complaints.	Yes	2026-01-01

3.2 Narrative Context

Regulation B establishes record-retention duties for covered credit applications. Meridian's seven-year lending-record schedule is longer than the general 25-month consumer application minimum and therefore governs ordinary disposal unless Legal approves a documented hold or another rule requires longer retention.

Regulation Z governs disclosures and account information for covered consumer credit. The exact statement obligation depends on the product and transaction. This standard does not assume that one statement format applies to every loan; Product Compliance must map each product to its approved disclosure and servicing schedule.

The SCRA can cap interest on qualifying pre-service obligations at six percent during military service when statutory conditions are met. Meridian's Military Benefits Team validates the request and applicable service period before Loan Operations changes the rate. A customer-service employee may explain the process but may not decide eligibility alone.

4. Governance Roles and Responsibilities

Role ID	Role	Responsibilities	Accountable To	Required Competence
ROLE-CCO	Consumer Compliance Officer	Owens interpretations, approves control exceptions, and reports material issues.	Chief Compliance Officer	Consumer financial regulation and control governance
ROLE-LOM	Loan Operations Manager	Operates servicing controls and corrects payment or statement errors.	Head of Consumer Lending	Loan servicing and operational risk
ROLE-MBT	Military Benefits Specialist	Validates military-service evidence and applies approved protections.	Consumer Compliance Officer	SCRA procedures and evidence review
ROLE-CTA	Compliance Testing Analyst	Independently tests controls and validates remediation.	Director of Compliance Testing	Testing methodology and consumer regulations

4.1 Narrative Responsibilities

The Consumer Compliance Officer approves control exceptions. The Loan Operations Manager may correct an obvious posting error but must refer any disputed legal interpretation to Compliance. Military Benefits Specialists coordinate with Loan Operations so that an approved rate change is applied to the correct loan and effective period.

Compliance Testing remains independent of the teams that operate the controls. Material findings are reported to the Consumer Compliance Committee, and overdue high-severity remediation is escalated to the Enterprise Risk Committee.

5. Assets, Systems, Data, and Processes

Asset ID	Name	Type	Owner	Classification	Criticality	Related Process
AST-LSP-01	Meridian Loan Servicing Platform	Business application	Loan Operations Manager	Confidential	High	Payment posting and loan maintenance
AST-REG-02	Meridian Account Registry	Customer and account record	Director of Deposit Operations	Confidential	High	Payment account verification
AST-CASE-03	ComplianceCase	Case-management system	Consumer Compliance Officer	Restricted	High	Complaints, benefits reviews, and exceptions
AST-VAULT-04	Enterprise records vault	Records repository	Records Management	Confidential	Medium	Evidence retention

The servicing platform records loan balances, rates, due dates, and payment activity. The account registry identifies the customer account used for authorized transfers. ComplianceCase links requests, complaints, decisions, and supporting evidence. The records vault preserves final notices, test samples, approvals, and remediation evidence.

6. Risks

Risk ID	Risk Statement	Cause	Event	Impact	Likelihood	Severity	Owner	Status
RISK-POST-01	A valid customer payment may be associated with the wrong loan.	Incomplete reference or manual selection error	Misapplied payment	Incorrect balance, fees, and customer harm	Medium	High	Loan Operations Manager	Open
RISK-RATE-02	An eligible military-service protection may be delayed or calculated incorrectly.	Evidence handoff or rate-rule error	Incorrect interest treatment	Customer harm and legal exposure	Low	High	Consumer Compliance Officer	Mitigated
RISK-REC-03	Meridian may be unable to demonstrate a servicing decision.	Missing or prematurely disposed evidence	Unsupported decision	Failed examination or unresolved complaint	Medium	Medium	Records Management Director	Mitigated
RISK-STMT-04	A borrower may receive inaccurate periodic account information.	Data mapping or timing failure	Incorrect statement	Confusion, complaint, or regulatory breach	Medium	High	Loan Operations Manager	Open

Payment-posting and statement risks are connected: a misapplied payment can produce both an incorrect loan balance and an inaccurate subsequent statement.

7. Controls

Control ID	Control Name	Control Type	Objective	Owner	Frequency	Evidence	Related Risks	Related Requirements
CTRL-PAY-01	Payment-to-loan validation	Preventive	Associate each payment with the intended loan before posting.	Loan Operations Manager	Each payment	Validation result and posting record	RISK-POST-01, RISK-STMT-04	REQ-TILA-STMT
CTRL-STMT-02	Statement data reconciliation	Detective	Detect balance, rate, due-date, and payment discrepancies before statement release.	Servicing Control Team	Each statement cycle	Reconciliation report and exception queue	RISK-STMT-04	REQ-TILA-STMT

Control ID	Control Name	Control Type	Objective	Owner	Frequency	Evidence	Related Risks	Related Requirements
CTRL-SCRA-03	Military benefit dual review	Preventive	Validate eligibility, effective period, and rate calculation before applying a protection.	Military Benefits Team Lead	Each request	Evidence checklist and approval record	RISK-RATE-02	REQ-SCRA-RATE
CTRL-RET-04	Lending record retention hold	Preventive	Prevent disposal before the approved retention period ends.	Records Management Director	Daily automated enforcement; annual review	Retention report and deletion log	RISK-REC-03	REQ-ECOA-RET
CTRL-CMP-05	Servicing complaint trend review	Detective	Identify repeated servicing defects and control failures.	Consumer Compliance Officer	Monthly	Complaint trend report	All listed risks	REQ-MCB-COMP

CTRL-PAY-01 requires both a valid loan reference and a customer or approved-source match. If either validation fails, the payment enters suspense rather than posting automatically. CTRL-STMT-02 depends on completed payment processing for the statement period; unresolved exceptions must be assessed before release.

8. Compliance Obligations

The organization must:

1. post each accepted payment to the intended loan using the approved effective-date rules;
2. provide accurate account and payment information for each covered consumer-credit product;
3. investigate credible borrower disputes and preserve the records used to resolve them;
4. apply approved military-service protections to eligible obligations for the validated period;
5. retain covered lending and compliance evidence for the applicable legal and internal period.

The organization must not:

1. dispose of a lending record subject to a regulatory retention period, active complaint, investigation, litigation hold, or approved extended retention;
2. reject a military-benefit request solely because the customer used Meridian's secure message center rather than postal mail;
3. change a loan rate or balance without a recorded reason and authorized decision.

The organization may:

1. place an unmatched payment in a suspense account while researching the intended loan;
2. correct a confirmed servicing error and issue revised customer information without waiting for the next ordinary statement cycle;
3. use a longer internal retention period than a regulatory minimum.

9. Evidence and Records

Evidence ID	Evidence Type	Produced By	Supports Control	Retention Period	Storage Location
EVID-PAY-01	Payment validation and posting record	Meridian Loan Servicing Platform	CTRL-PAY-01	Seven years after loan closure	Enterprise records vault
EVID-STMT-02	Statement-cycle reconciliation report	Servicing Control Team	CTRL-STMT-02	Seven years after report date	Enterprise records vault
EVID-SCRA-03	Military benefit review package	Military Benefits Specialist	CTRL-SCRA-03	Seven years after benefit end	ComplianceCase
EVID-RET-04	Retention enforcement and deletion report	Records Management	CTRL-RET-04	Seven years after report date	Governance records library

Evidence ID	Evidence Type	Produced By	Supports Control	Retention Period	Storage Location
EVID-CMP-05	Monthly complaint trend report	Consumer Compliance Office	CTRL-CMP-05	Seven years after report date	ComplianceCase

Control evidence must identify the relevant record, operator, reviewer when required, result, and timestamp. The control owner reviews exceptions, while Compliance reviews material or repeated failures. Records Management applies approved retention schedules and suspends disposal when a legal or compliance hold is active.

10. Exceptions and Waivers

Exception ID	Requested By	Affected Requirement	Affected Control	Justification	Approver	Expiration Date	Status
EXC-307-011	Loan Operations Manager	REQ-TILA-STMT	CTRL-STMT-02	Legacy portfolio feed cannot complete pre-release reconciliation; daily post-release comparison and five-day correction apply.	Consumer Compliance Officer	2026-12-31	Approved

Exceptions are allowed only for an internal control design or timing requirement; they cannot waive a customer's legal protection. The request must identify affected products, duration, risk, compensating controls, and a remediation owner. High-risk exceptions require Legal review and Chief Compliance Officer approval.

11. Monitoring, Testing, and Reporting

Activity ID	Activity	Performed By	Frequency	Input	Output	Escalation Trigger
MON-PAY-01	Sample payment-posting accuracy	Compliance Testing Analyst	Quarterly	Payment and loan records	Control test report	Any customer-impacting error or error rate above 1%
MON-SCRA-02	Military benefit timeliness and calculation review	Compliance Testing Analyst	Quarterly	Benefit review packages and loan history	Control test report	Any missed eligible period or rate above approved cap
MON-STMT-03	Statement exception trend review	Servicing Control Team	Monthly	Reconciliation exceptions	Trend report	Three similar defects in one cycle
MON-RET-04	Retention schedule certification	Records Management	Annually	Repository schedules and deletion logs	Certification	Early deletion or missing legal hold

Compliance Testing validates both control execution and the reliability of evidence. A confirmed customer-impacting defect requires impact analysis, correction, complaint review, and consideration of broader remediation. High-severity findings overdue by more than ten business days are reported to the Enterprise Risk Committee.

12. Findings and Remediation

Finding ID	Description	Severity	Related Control	Owner	Due Date	Status
FIND-2026-17	Seven payments received without a complete loan reference remained in suspense longer than the internal two-business-day target.	Medium	CTRL-PAY-01	Loan Operations Manager	2026-10-15	Remediation in progress
FIND-2026-22	Legacy statement reconciliation evidence did not identify the reviewer for two monthly cycles.	Medium	CTRL-STMT-02	Servicing Control Team Lead	2026-11-01	Open

FIND-2026-17 requires a required-reference validation at intake, daily suspense aging, and documented outreach after one business day. Closure requires thirty consecutive days with no payment aged beyond two business days without a recorded investigation.

FIND-2026-22 depends on completion of the legacy-feed exception plan. Closure requires system-captured reviewer identity and successful independent testing of two statement cycles.

13. Key Dates and Thresholds

Item	Value	Unit	Applies To
Document review frequency	6	months	MCB-GRC-307
Consumer application regulatory minimum	25	months	Covered Regulation B application records
Meridian lending record retention	7	years after loan closure	Loan and servicing records
Payment suspense investigation target	2	business days	Unmatched accepted payments
High-severity remediation escalation	10	business days overdue	Open high-severity findings
Military-service interest threshold	6	percent per year	Eligible pre-service obligations during the protected period

14. Conflicts, Ambiguities, and Interpretations

The Enterprise Records Schedule describes the seven-year lending period as beginning at “account closure,” while Loan Operations traditionally begins it at “final payment.” These dates are usually close but are not always the same. For this standard, account closure means the date on which the loan is paid, charged off, transferred with no remaining servicing duty, or otherwise closed in the system after all adjustments. A final payment alone does not start disposal when an unresolved adjustment or complaint remains.

The Payment Operations Manual defines a “business day” as a day on which the payment unit processes transactions. The Customer Complaint Policy defines it as Monday through Friday excluding federal holidays. Until the manuals are aligned, the more customer-protective deadline applies to investigation and correction commitments.

Version 1.2 used “servicing exception” for both a failed transaction and an approved waiver from a control. Version 1.3 revises this usage: a failed or unmatched transaction is an Operational Exception, while an approved temporary departure from a control is a Control Exception. Existing records retain their original labels but must be interpreted using their context.

15. Change History

Version	Date	Change	Reason	Approved By
1.2	2025-09-01	Added military-benefit and payment-suspense controls.	Consolidate servicing compliance requirements.	Chief Compliance Officer
1.3	2026-09-01	Split exception terminology, clarified retention start date, and added statement evidence requirements.	Resolve audit findings and inconsistent operating interpretations.	Chief Compliance Officer

16. Appendices

Appendix A: Terms and Definitions

Term	Definition	Source
Borrower	A person obligated under a consumer loan agreement.	Approved product agreement
Customer account	A deposit or payment account associated with a customer and used in an authorized servicing process.	Meridian Account Governance Standard
Loan payment	Money accepted for application to a specified loan obligation.	Loan Operations Manual
Operational Exception	A transaction, data, or processing event that did not complete as expected.	MCB-GRC-307, version 1.3
Control Exception	A documented, approved, and temporary departure from an internal control requirement.	MCB-GRC-307, version 1.3
Military benefit review	The evidence and decision process used to determine and apply an eligible statutory protection.	Military Benefits Procedure

Appendix B: Relationship Examples

- The Loan Operations Manager owns the payment-to-loan validation control.
- Payment-to-loan validation mitigates the risk of a payment being applied to the wrong loan.
- A payment validation record demonstrates operation of the payment control.
- Regulation B retention requirements apply to covered application-record processes.
- FIND-2026-17 affects the payment-suspense process and its servicing records.
- MCB-GRC-307 version 1.3 supersedes version 1.2.

On September 3, 2026, borrower Amina Patel submitted Payment PMT-77421-0903 for USD 612.40 through Deposit Account DA-55190 for Consumer Loan CL-77421. The servicing platform matched the borrower, loan reference, and approved payment source before posting the payment. The resulting validation record supports CTRL-PAY-01.

Appendix C: Known Interpretation Variations

“Authorized payment account” and “approved payment source” refer to the same servicing concept in this document. “Exception” is used historically for both a processing failure and an approved waiver, but Section 14 replaces that broad meaning with Operational Exception and Control Exception.

The Payment Operations Manual and Customer Complaint Policy conflict over the meaning of “business day.” The seven-year internal retention rule extends the regulatory minimum described in Section 3 rather than replacing it. The approved legacy-feed amendment temporarily changes when reconciliation occurs but does not waive accurate customer treatment.